Cash & Debt — Assumption Notes

LBOMODEL4 · ZoomInfo (GTM) · Written so a 16-year-old can follow

Every line item uses the same four big steps:
1 What this is   2 What it is required for   3 Growth trajectory   4 Major Variable
Smaller notes under each item cover Source, Verbatim, and Why reasonable.

Cash, EOP

1
What this is

Cash at year-end sitting in the company's bank account after the year's cash moves.

2
What it is required for

Required so the model shows how much cash is left on hand; here it stays at the $50m minimum.

3
Growth trajectory

0% excess. Cash EOP held at minimum $50m (Sources D16). Full sweep keeps cash flat; dollars do not pile up.

4
Major Variable

NO — cash stock stays flat. Not the main lever; the sweep of extra cash is.

Source / proof notes

Source: REASONABLE: hold operating cash at model minimum $50m

https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm

Verbatim: EQ: F144=$D$16 (Minimum cash desired). Filing cash was ~$179.9m at close; excess above $50m funded Sources (D27).

Why reasonable: Keeping only $50m cash is normal in a full-sweep LBO so extra cash pays debt instead of sitting idle.

Less: Minimum cash desired

1
What this is

The smallest cash pile the company must keep so it can pay bills and run normally.

2
What it is required for

Required as a safety floor. Cash above this can be used to pay down buyout debt.

3
Growth trajectory

$50m flat min cash every year (Sources D16). Same floor all periods.

4
Major Variable

YES — OUTFLOW of usable cash (locked as minimum). NET − vs using that cash to cut debt, but needed so the company can operate.

Source / proof notes

Source: REASONABLE: Minimum cash desired = $50m in Sources

https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm

Verbatim: EQ: F150=−$D$16. Sources D16=50. Excess cash at close = filing cash − 50 → D27.

Why reasonable: The $50m floor is the cash the business must keep to run day to day.

Plus: Free cash flows generated during period

1

What this is

Free cash flow: leftover cash after running the business, interest, and needed reinvestment.

2

What it is required for

Required to pay down loans. More free cash flow usually means a stronger LBO for equity owners.

3

Growth trajectory

+5% sales-driven. FCF $ grows each year with AI_Operating (~$123m→~$248m). Not a flat dollar.

4

Major Variable

YES — INFLOW of cash to the LBO. NET + for the LBO. More free cash means more debt paydown and a better equity outcome.

Source / proof notes

Source: REASONABLE: FCF for sweep = AI_Operating FCF after interest

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim: Ctrl+F: 50-100% of annual excess free cash flow

Verbatim: EQ: F152=AI_Operating!D21. That FCF already nets CapEx and ΔNWC from Drivers.

Why reasonable: This is the cash the deal actually makes after interest. It is what can pay down loans.

Revolver, EOP

1
What this is

A backup credit card-style loan the company can draw if it needs short-term cash.

2
What it is required for

Required as emergency funding capacity. In this case it stays at $0 because free cash covers needs.

3
Growth trajectory

0$ drawn. Revolver stays undrawn; FCF covers needs so no revolver inflow.

4
Major Variable

NO — not used. If drawn it would be an INFLOW of cash but also NET − (more debt). Here it is idle.

Source / proof notes

Source: CAUTION — revolver capacity $350m but draw = $0 in base path

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim: EQ: F155:F157=0. Availability F158=350 is a backstop, not used cash.

Why reasonable: The revolver is a rainy-day credit line. In this case we do not need to borrow on it.

Term Loan A, BOP

1
What this is

Term Loan A starting balance — the senior bank loan taken to help buy the company.

2
What it is required for

Required to track the biggest loan that gets paid first. Paying it down raises equity value at exit.

3
Growth trajectory

−1%/yr mandatory + 100% sweep. TLA BOP starts $457.8m (Sources 2.5× EBITDA); balance falls as cash pays it down.

4
Major Variable

YES — debt balance (not cash flow by itself). NET + for equity when the balance falls; lower TLA means less interest and more exit equity.

Source / proof notes

Source: REASONABLE: TLA principal = Sources D29 = 2.5× LTM EBITDA

https://ctacquisitions.com/acquisition-financing/

Verbatim: EQ: F162=$D$29 (457.8). Was a stale ~$2.9bn hardcoded loan — replaced with GTM Sources stack.

Why reasonable: Term Loan A is the senior bank loan. Starting size must match the Sources page, not old template debt.

Mandatory paydown $ (TLA)

1
What this is

The fixed yearly amount lenders force you to repay on Term Loan A (1% of the original loan).

2
What it is required for

Required by the loan contract. It steadily shrinks debt even before extra cash sweep paydowns.

3
Growth trajectory

1%/yr of original TLA (Drivers C17). Flat $ amort each year (=0.01×$457.8m), not 5–10% old hardcodes.

4
Major Variable

YES — OUTFLOW of cash to lenders. NET + for the LBO. Required paydown shrinks debt and helps the buyout delever.

Source / proof notes

Source: REASONABLE: Drivers C17=1% mandatory amortization

https://clearvaluelending.com/glossary/term-loan-b

Verbatim: Ctrl+F: minimal amortization (1% annually)

Verbatim: EQ: F163=$D$29*Assumptions_Drivers!$C$17.

Why reasonable: Lenders require a small fixed paydown each year even before the cash sweep.

Cash sweep (paydown from excess cash flows)

1
What this is

Extra free cash sent to repay Term Loan A after the required 1% payment is made.

2
What it is required for

Required in this LBO to cut debt fast. Sweeping cash to debt is a main way the buyout wins.

3
Growth trajectory

100% sweep (Drivers C18). Sweep $ = max(0, FCF − TLA mand − TLB mand); grows as FCF grows.

4
Major Variable

YES — OUTFLOW of cash (to pay debt). NET + for the LBO. Sweeping cash to Term Loan A is how the deal gets safer and equity value rises.

Source / proof notes

Source: REASONABLE: Drivers C18=100% excess FCF sweep to debt

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim: Ctrl+F: 50-100% of annual excess free cash flow

Verbatim: Ctrl+F: typically modeled at 100%

Verbatim: EQ: F164=MAX(0,AI_FCF−mandTLA−mandTLB)*C18. Priority: Term Loan A first.

Why reasonable: A 100% sweep means almost all leftover cash after the required 1% paydown goes to cut Term Loan A.

Cash sweep %

1
What this is

The share of leftover free cash that must go to debt paydown — here set to 100%.

2
What it is required for

Required to define the paydown rule. 100% means almost all extra cash goes to loans, not dividends.

3
Growth trajectory

100% flat (Drivers C18). Sweep percent does not change; dollars swept grow with FCF.

4
Major Variable

YES — OUTFLOW rule. NET + for the LBO. A full sweep is credit-positive: cash goes to debt, not dividends or idle cash.

Source / proof notes

Source: REASONABLE: cash sweep % = Drivers C18 = 100%

https://ryanoconnellfinance.com/lbo-model-fundamentals/

Verbatim: Ctrl+F: typically modeled at 100%

Verbatim: EQ: sweep dollars in F164 use Assumptions_Drivers!$C$18.

Why reasonable: 100% means we model using essentially all excess free cash to repay debt.

Term Loan B, BOP

1
What this is

Term Loan B starting balance — the next loan behind Term Loan A in repayment priority.

2
What it is required for

Required to track the second loan. It gets the small required paydown while TLA takes most sweep cash.

3
Growth trajectory

−1%/yr mandatory only. TLB starts $274.7m (Sources 1.5×); falls slowly; no sweep until TLA is ahead.

4
Major Variable

YES — debt balance. NET + for equity as it declines, but less than TLA because most extra cash hits TLA first.

Source / proof notes

Source: REASONABLE: TLB principal = Sources D30 = 1.5× LTM EBITDA

https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/

Verbatim: EQ: F170=$D$30. Rate Drivers C28=SOFR+5%. Mandatory = C17× original TLB.

Why reasonable: Term Loan B sits behind Term Loan A, so it gets the small 1% paydown while TLA takes the sweep.

Mandatory amortization $ (TLB)

1
What this is

The fixed yearly amount lenders force you to repay on Term Loan B (1% of the original loan).

2
What it is required for

Required by the loan contract. It reduces Term Loan B a little each year.

3
Growth trajectory

1%/yr of original TLB (Drivers C17). Flat $ amort (=0.01×$274.7m) each year.

4
Major Variable

YES — OUTFLOW of cash to TLB lenders. NET + for the LBO because it still reduces total debt each year.

Source / proof notes

Source: REASONABLE: same 1% mandatory rule on TLB

https://clearvaluelending.com/glossary/term-loan-b

Verbatim: Ctrl+F: minimal amortization (1% annually)

Verbatim: EQ: F171=$D$30*Assumptions_Drivers!$C$17.

Why reasonable: Same 1% lender rule as Term Loan A, applied to the Term Loan B size.

Senior Note, BOP

1
What this is

Senior Notes starting balance — bond-like debt that usually is not paid down a little each year.

2
What it is required for

Required to track junior debt that mostly waits until exit or refinance, while still charging interest.

3
Growth trajectory

0% amort. Senior Notes $183.1m (Sources 1.0×) stay flat — bullet at maturity; no annual paydown in model.

4
Major Variable

YES — debt still outstanding. NET − vs TLA/TLB paydowns: Notes keep interest expense alive until exit/refi.

Source / proof notes

Source: REASONABLE: Notes principal = Sources D31; bullet (0% mandatory)

https://ctacquisitions.com/acquisition-financing/

Verbatim: EQ: F178=$D$31; F179=0. Interest =(SOFR+3.5%)×Notes BOP. Balance does not amortize in-forecast.

Why reasonable: Notes usually do not get paid down a little each year; they wait until the end unless refinanced.

Interest — Term Loan A

1
What this is

Yearly interest cost on Term Loan A — the fee for borrowing that bank loan money.

2
What it is required for

Required because interest is a real cash bill. As Term Loan A falls, this cost should fall too.

3
Growth trajectory

8.3% rate flat (Drivers C27=SOFR+4%). Interest $ falls as TLA balance falls from sweep.

4
Major Variable

YES — OUTFLOW of cash (interest). NET − for the LBO each year it is paid, but falling TLA makes this outflow smaller over time (good).

Source / proof notes

Source: REASONABLE: TLA rate = Drivers C27 = SOFR 4.3% + 4.0%

https://www.global-rates.com/en/interest-rates/sofr/historical/2024/

Verbatim: Ctrl+F: 4.30

Verbatim: Ctrl+F: SOFR + 400-500 bps

Verbatim: EQ: F208=F162*Assumptions_Drivers!$C$27. IS interest F50=−(TLA+TLB+Notes interest).

Why reasonable: Interest is the price of the loan. As Term Loan A shrinks, this interest bill should shrink too.

Interest — Term Loan B

1
What this is

Yearly interest cost on Term Loan B — usually a bit higher than Term Loan A.

2
What it is required for

Required to capture the cash cost of the second loan. It stays painful until that balance shrinks.

3
Growth trajectory

9.3% rate flat (Drivers C28=SOFR+5%). Interest $ edges down only with 1% TLB amort.

4
Major Variable

YES — OUTFLOW of cash (interest). NET − for the LBO. Higher rate than TLA, and the balance falls only slowly.

Source / proof notes

Source: REASONABLE: TLB rate = Drivers C28 = SOFR + 5.0%

https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/

Verbatim: Ctrl+F: SOFR + 300-500 basis points

Verbatim: EQ: F209=F170*Assumptions_Drivers!$C$28.

Why reasonable: Term Loan B costs more than Term Loan A because it is riskier for lenders.

Interest — Senior Note

1
What this is

Yearly interest cost on the Senior Notes while that Notes balance stays outstanding.

2
What it is required for

Required because Notes keep charging interest every year until exit or a refinance clears them.

3
Growth trajectory

7.8% rate flat (SOFR+3.5%). Interest $ stays roughly flat because Notes principal does not amortize.

4
Major Variable

YES — OUTFLOW of cash (interest). NET − for the LBO until exit or refinance clears the Notes.

Source / proof notes

Source: REASONABLE: Notes ≈ SOFR+3.5% (same stack used in DCF cost of debt)

https://www.global-rates.com/en/interest-rates/sofr/historical/2024/

Verbatim: EQ: F210=F178*(Assumptions_Drivers!$C$14+0.035). Principal flat → interest roughly flat.

Why reasonable: Notes interest keeps showing up every year while the Notes balance stays outstanding.

Open from the LBO tab CASH & DEBT blue banner. Companion TXT available beside this PDF.